

RISK ALERT -- Oil Price Decline Creates Headwind for Energy Holdings

XOM | Exxon Mobil Corporation | Energy

Analyst: Robert Martinez
Type: Risk Alert
Rating: Neutral (Downgrade)
Conviction: Low
Price Target: \$105

IMMEDIATE ATTENTION: WTI crude oil has declined 18% over the past 6 weeks to \$62/bbl, driven by weaker-than-expected Chinese demand data and OPEC+ signaling potential production increases in Q2 2026. This creates a material headwind for our energy holdings across both the Alpha US Equity Strategy and Absolute Return Income Strategy.

Impact Assessment:

At \$62 WTI, Exxon Mobil's free cash flow yield compresses to approximately 6.2% from 8.5% at \$72. The current dividend remains well-covered (payout ratio ~48%), but share buyback capacity would be reduced by approximately \$4B annually. Permian Basin breakeven economics remain intact at sub-\$40, providing a floor on production activity.

Portfolio Implications:

For the Alpha US Equity Strategy, we recommend trimming the XOM position from 2.8% to 1.5% of portfolio weight. For the Absolute Return Income Strategy, the 3.5% position can be maintained given the dividend yield support and income mandate, but we should monitor for further deterioration.

Our quant model has flagged XOM with a DOWNGRADE signal. Composite rank fell to #285 from #142, driven by severe momentum deterioration (-1.8) and worsening sentiment (-1.2). Value score improved to +1.4 as the price decline has made the stock statistically cheaper.

Downgrading to Neutral from Overweight with Low conviction. Price target reduced to \$105 from \$125. We will reassess when oil prices stabilize or if OPEC+ provides clarity on production policy at the March meeting.

ACTION REQUIRED: Please discuss position sizing with the portfolio management team.